Chapter Twenty-Eight

Atmanirbhar Bharat: A Redux of Import Substitution Policy?

Policy of Import Substitution Led to a Steady Loss of Export Share until the 1980s

Ironically, India was more open to trade with the world before 1947 than for the next thirty-five years thereafter. Openness in trade brings competitiveness in exports. The country's share of global exports was about 2 per cent in 1947; it reached its lowest level of 0.6 per cent in 1983. We followed an import substitution policy for much of this period in an attempt to become self-reliant or *atmanirbhar* in the production of all manufactured goods.

India's merchandise trade surplus in 1937 was a positive $47 million, whereas in 1948 it turned into a negative balance of $122 million. According to the UN World Economic Report 1948, the Index of India's merchandise trade had fallen to 75 in 1946 (base year 1937: 100). The Index recovered to between 81 and 92 in the four quarters of 1947. Still, India's merchandise trade was about 15 per cent lower in 1947 compared to 1937.

India's share in global exports kept falling after Independence. In 1984–85, GATT's World Trade Report offered data on value and share of global exports for major exporting countries for 1953, 1963, 1973 and 1983. With exports of $1.1 billion in 1953, India had a share of 1.3 per cent of global exports and was the sixteenth largest exporting country in the world. In 1963, we exported $1.6 billion worth of goods and services but came down to twentieth place with 1 per cent share. In 1973, the country did not even